

SOFTWARE DEVELOPMENT TERMS AND CONDITIONS

Last Updated: April, 2026

These Terms and Conditions ("Terms") govern the provision of custom software development services by SG2 Technologies, a Virginia limited liability company with its principal place of business at 1706 Amber Cir, Alexandria, VA 22304 ("Developer," "we," "us," or "our"), to the client identified in the applicable Statement of Work ("Client," "you," or "your"). Together with any Statement of Work ("SOW"), proposal, or other document expressly incorporated by reference, these Terms form the complete agreement ("Agreement") between the parties.

1. Definitions

- 1.1. Deliverables: The software, source code, documentation, designs, and other work product specified in an SOW.
- 1.2. Intellectual Property (IP): Patents, copyrights, trademarks, trade secrets, and other proprietary rights.
- 1.3. Services: Custom software design, development, testing, implementation, maintenance, and related consulting as described in an SOW.
- 1.4. SOW: A separate document detailing project scope, milestones, timelines, fees, and deliverables.

2. Services and Scope of Work

- 2.1. We will perform the Services and deliver the Deliverables in accordance with the SOW, using reasonable skill and care consistent with industry standards.
- 2.2. Changes to scope must be documented via a written Change Order signed by both parties, which may adjust fees, timelines, or other terms.
- 2.3. We may use subcontractors, but remain responsible for their performance. Client will provide timely access to facilities, data, personnel, and feedback as reasonably required. Delays caused by Client may extend timelines and increase fees.
pandadoc.com

3. Project Milestones and Acceptance

- 3.1. Services will proceed in phases or milestones as set forth in the SOW.
- 3.2. Upon delivery of a milestone Deliverable, Client will have [e.g., 10 business days] to test and provide written acceptance or detailed rejection notice.

3.3. If no notice is received within the period, the Deliverable is deemed accepted. Rejected items will be corrected and resubmitted promptly. Acceptance does not waive warranties. impressit.io

4. Client Responsibilities - Client shall:

4.1. Provide complete, accurate requirements and content.

4.2. Ensure all provided materials do not infringe third-party rights.

4.3. Make timely decisions and approvals.

4.4. Comply with all applicable laws.

5. Payment Terms

5.1. Fees are as specified in the SOW (fixed-price, time-and-materials, or milestone-based).

5.2. A [e.g., 30-50%] deposit is due upon SOW execution. Remaining payments are due upon milestone acceptance or as invoiced.

5.3. Invoices are payable within [e.g., 15 or 30] days. Late payments accrue interest at 1.5% per month (or the maximum allowed by law).

5.4. All fees are exclusive of taxes, which Client will pay. Expenses (e.g., travel) are reimbursable if pre-approved.

5.5. We may suspend Services for payments more than [e.g., 15] days overdue. stratagem-systems.com

6. Intellectual Property

6.1. Work Product Ownership: All Deliverables and custom work product created specifically for Client under this Agreement shall be deemed "work made for hire" under U.S. copyright law to the extent possible. To the extent not, upon full payment, Developer hereby assigns, transfers, and conveys all right, title, and interest (including all IP rights) in such work product to Client.

6.2. Developer retains ownership of its pre-existing tools, libraries, frameworks, methodologies, and know-how ("Developer IP"). We grant Client a perpetual, irrevocable, non-exclusive, royalty-free license to use Developer IP solely as incorporated in the Deliverables.

6.3. Client grants Developer a limited license to use Client-provided materials solely for performing the Services.

6.4. Each party will execute documents necessary to perfect IP assignments. willcoxsave.com stratagem-systems.com

7. Confidentiality

- 7.1. Each party will maintain the other's Confidential Information in strict confidence and use it only as necessary under this Agreement.
- 7.2. Confidential Information does not include publicly available information (through no fault of the recipient) or independently developed information.
- 7.3. Obligations survive termination for [e.g., 5 years] (or indefinitely for trade secrets).

8. Warranties and Disclaimers

- 8.1. Developer warrants that: (i) Services will be performed professionally; (ii) Deliverables will materially conform to the SOW specifications for [e.g., 90 days] after acceptance ("Warranty Period"); and (iii) Deliverables will not infringe third-party U.S. IP rights (to Developer's knowledge).
- 8.2. Client's sole remedy for breach of the conformity warranty is, at our option, correction, replacement, or refund of fees paid for the non-conforming Deliverable.
- 8.3. EXCEPT AS EXPRESSLY STATED, ALL SERVICES AND DELIVERABLES ARE PROVIDED "AS IS." WE DISCLAIM ALL OTHER WARRANTIES, EXPRESS OR IMPLIED, INCLUDING MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, AND NON-INFRINGEMENT. WE DO NOT WARRANT UNINTERRUPTED OPERATION OR ERROR-FREE SOFTWARE.

9. Limitation of Liability

- 9.1. NEITHER PARTY WILL BE LIABLE FOR INDIRECT, INCIDENTAL, CONSEQUENTIAL, SPECIAL, PUNITIVE, OR EXEMPLARY DAMAGES (INCLUDING LOST PROFITS), EVEN IF ADVISED OF THE POSSIBILITY.
- 9.2. Our total aggregate liability under this Agreement will not exceed the total fees paid by Client in the [12 months] preceding the claim.
- 9.3. These limitations do not apply to IP infringement indemnification, confidentiality breaches, or gross negligence/willful misconduct.

10. Indemnification

- 10.1. Developer will indemnify, defend, and hold harmless Client from third-party claims that Deliverables infringe U.S. IP rights, subject to Client providing prompt notice and cooperation. We may, at our option, procure rights, modify, or replace the item.
- 10.2. Client will indemnify Developer against claims arising from Client-provided materials, Client's use of Deliverables outside the Agreement, or Client's breach.

11. Term and Termination

- 11.1. This Agreement commences on the Effective Date and continues until all SOWs are completed, unless terminated earlier.
- 11.2. Either party may terminate for material breach (uncured within [30 days] of notice). Client may terminate for convenience upon written notice and payment for all work performed plus reasonable wind-down costs.
- 11.3. Upon termination, Client pays for accepted Deliverables and work in progress. Licenses granted survive; IP assignments become effective upon payment.

12. Governing Law and Dispute Resolution

- 12.1. This Agreement is governed by the laws of the Commonwealth of Virginia, without regard to conflict of laws principles. Virginia's UCITA applies where relevant.
higherlogicdownload.s3.amazonaws.com
- 12.2. Exclusive jurisdiction and venue lie in the state or federal courts located in [e.g., Fairfax or appropriate county], Virginia. Parties consent to personal jurisdiction there.
- 12.3. Disputes will first attempt good-faith negotiation, then mediation if needed, before litigation.

13. Miscellaneous

- 13.1. Force Majeure: Neither party is liable for delays due to events beyond reasonable control (e.g., acts of God, war, pandemics), excluding payment obligations.
- 13.2. Independent Contractors: The parties are independent; no partnership, agency, or employment is created.
- 13.3. Assignment: Neither party may assign without prior written consent (not unreasonably withheld), except to affiliates or in connection with a merger/acquisition.
- 13.4. Severability: Invalid provisions do not affect the remainder.
- 13.5. Entire Agreement: This Agreement supersedes all prior understandings and may only be amended in writing signed by both parties.
- 13.6. Notices: Must be in writing via email or certified mail to the addresses in the SOW.
- 13.7. Survival: Sections on IP, confidentiality, warranties, liability, indemnification, and governing law survive termination.